

FACULTATIVE REINSURANCE OFFER - INDUSTRIAL/AGRICULTURAL FACILITY

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REFERENCE: EIB-NZO-NVGP-2026-015

PLACEMENT DEADLINE: 12 October 2026

PLACEMENT SUMMARY

INSURED: Nzoia Valley Grain Processing Limited

OPERATING SINCE: 2008

PRINCIPAL ACTIVITY: Grain milling, processing, sorting, drying, and storage (maize, wheat, sorghum)

LOCATION: Bungoma District, Nzoia Valley, Kenya

PRINCIPAL CONTACT:

Mr. Samuel Kipkemboi (Operations Manager)

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FACILITY MANAGER:

Mr. Justus Koech

Nzoia Valley Grain Processing Ltd

Bungoma Office

GEOGRAPHIC & PHYSICAL LOCATION

FACILITY ADDRESS: Makutano, Bungoma District, Western Kenya

COUNTY: Bungoma County

GPS COORDINATES: 0.6234°N, 34.5687°E

ELEVATION: 1,289 meters above sea level

ACCESSIBILITY:

- Main road: B1 Highway, 2.8 km east of facility
- Nearest town: Kimilili (8 km south)
- Nearest city: Webuye (12 km south)
- Rail connection: Uganda Railway line (inactive, 1.5 km west)
- Airport: Eldoret (47 km south)

SITE SURROUNDINGS:

- North: Agricultural land (maize and wheat farms)
- South: Nzoia River (0.9 km south-southeast)
- East: Small farmer cooperatives
- West: Cattle grazing land

NATURAL HAZARDS IN REGION:

Nzoia Valley is known for seasonal flooding. The Nzoia River rises annually during long rains (March-May) and short rains (October-November). Facility has experienced 4 significant flood events since 2008.

PROPERTY & BUILDING DETAILS

MAIN PROCESSING BUILDING:

Construction year: 2008

Type: Reinforced concrete frame with corrugated iron roof and walls

Dimensions: 85m (length) x 42m (width) x 12m (height to eaves)

Total area: 3,570 m²

Foundation: Strip and pad footings on clay soil (no piles)

Roof pitch: 15° (metal roofing with internal guttering)

WAREHOUSE UNIT #1 (Grain Storage)

Construction: Corrugated iron sheet walls (unpainted), concrete base (0.5m high)

Dimensions: 60m x 35m x 8m (height to roof peak)

Area: 2,100 m²

Roof: Corrugated galvanized steel sheets (installed 2010, last patched 2024)

Foundation: Concrete pad, thickness unknown

Condition: Fair (rust spots on roof, no structural issues noted)

WAREHOUSE UNIT #2 (Finished Goods Storage)

Construction: Mix of corrugated iron and concrete blocks (south wall)

Dimensions: 50m x 32m x 8.2m

Area: 1,600 m²

Roof: Metal truss with galvanized steel covering (upgraded 2020)

Foundation: Concrete base (0.4m high)

Condition: Good (recently repainted 2025, tight seals)

WAREHOUSE UNIT #3 (Raw Material Storage)

Construction: Corrugated iron sheets on timber frame (older structure)

Dimensions: 45m x 25m x 7.5m

Area: 1,125 m²

Roof: Corrugated iron (rusted, replacement planned 2027)

Foundation: Concrete pads (uneven settlement noted in 2024 audit)

Condition: Fair to Poor (leaks during heavy rain, structural cracks visible)

TOTAL BUILDING FOOTPRINT: ~8,395 m²

TOTAL FLOOR AREA (covered): ~8,395 m²

ACCESSORY STRUCTURES:

- Office building: 200 m² (brick construction, single story, elevated floor 0.8m)
- Workshop/maintenance shed: 150 m² (corrugated iron)
- Security guardhouse: 25 m² (concrete blocks)
- Fuel storage shed: 40 m² (metal frame, elevated on concrete pillars)
- Loading dock: Open structure (covered, 500 m² approximate area)

PROCESSING EQUIPMENT & MACHINERY

MAIN MILLING EQUIPMENT:

Item: Plate mill (flour milling)

Model: Buhler 100-150

Installed: 2008

Condition: Good (major overhaul 2023)

Location: Main processing building, central area

Capacity: 5 tons/hour

Item: Hammer mill (preliminary grinding)

Model: Copra 50-75

Installed: 2010

Condition: Fair (wear on hammers, due for maintenance)

Location: Main processing building, eastern section

Capacity: 8 tons/hour

Item: Rotary sieves (grading)

Model: Custom-built (local contractor)

Installed: 2015

Condition: Good

Location: Main processing building

Processing capacity: 6 tons/hour

DRYING & MOISTURE REDUCTION:

Item: Rotary dryer

Model: EFS-800

Installed: 2012

Location: Main building (adjacent to milling area)

Fuel: Maize husks (biomass) + diesel backup

Condition: Good (recently inspected, seals replaced 2026)

Temperature range: Up to 100°C

Item: Moisture meter system

Count: 3 units (distributed across facility)

Condition: Functional (one unit showing calibration drift - needs adjustment)

CONVEYING & MATERIAL HANDLING:

Bucket conveyors: 4 units (for grain vertical transport)

Screw conveyors: 6 units (horizontal transfer between equipment)

Pneumatic conveyors: 1 unit (flour handling, installed 2020)

Condition: Mixed (some units showing wear, regular maintenance performed)

PACKAGING & BAGGING:

Item: Automatic bagging machine

Model: AAIPAK 50-2 (50 kg bags)

Installed: 2015

Condition: Good

Capacity: 15 bags/minute

Item: Manual bagging stations: 4 stations (backup, operated by staff)

Bag weighing scales: 3 digital scales (functional)

TOTAL MACHINERY VALUE (estimated): KES 45,000,000

ANNUAL MAINTENANCE:

- Electricity costs (equipment): KES 2,100,000
- Spare parts & repairs: KES 950,000
- Equipment servicing contract: Yes, with Nairobi-based firm (annual cost KES 400,000)

POWER & FUEL SYSTEMS

MAIN POWER SUPPLY:

- Source: Kenya Power grid (single-phase, 3-phase 415V available)
- Connection capacity: 100 amp supply (contracted)
- Monthly consumption: ~8,500 kWh (seasonal variation: 6,000-12,000 kWh)
- Cost: KES 850,000-1,050,000 per month
- Reliability: Frequent outages (average 3-4 outages/month, duration 2-6 hours)

BACKUP GENERATOR #1 (PRIMARY):

Make/Model: Caterpillar C13 Diesel Generator

Capacity: 250 kVA (200 kW)

Installed: 2011

Condition: Fair (showing signs of age, last major service: 2024)

Location: Main processing building, northern external wall (coordinates 0.62345°N, 34.56852°E)

Fuel type: Diesel (HSD)

Fuel tank capacity: 3,000 liters (above-ground storage, located 5m west of generator)

Run time on full tank: 32 hours at 75% load

Automatic start: Yes (ATS installed, functioning)

Load transfer capability: Automated transfer switch (dated 2011, showing rust)

BACKUP GENERATOR #2 (SECONDARY):

Make/Model: Cummins QSB5.9 Diesel Generator

Capacity: 150 kVA (120 kW)

Installed: 2015 (added for expanded capacity)

Condition: Good (recently serviced 2026)

Location: Warehouse Unit #2, south-eastern corner (coordinates 0.62315°N, 34.56798°E)

Fuel tank: 1,500 liters (underground storage, buried 0.8m, installed 2015)

Run time on full tank: 28 hours at 75% load

Automatic start: Manual start only (no ATS) - requires operator intervention

Note: This generator serves WAREHOUSE #2 only; requires manual fuel line switching

BACKUP GENERATOR #3 (EMERGENCY):

Make/Model: Honda GX690 (portable, small diesel unit)

Capacity: 15 kVA (12 kW)

Installed: 2020

Condition: Good (portable, stored in workshop)

Location: Workshop/maintenance shed (portable)

Fuel tank: 50 liters capacity

Purpose: Emergency backup for office systems only

Note: Cannot serve processing machinery

FUEL STORAGE & HANDLING:

Main diesel tank #1: 3,000 liters (above-ground, next to Gen #1)

- Condition: Rusted base, painted 2024 (preventive maintenance)
- Last fuel quality test: March 2026 (acceptable)
- Delivery frequency: Bi-weekly (supplier: Vivo Energy Kenya)

Backup diesel tank #2: 1,500 liters (underground, near Warehouse #2)

- Installed: 2015
- Condition: Unknown (buried, visual inspection not possible)
- Last maintenance: 2020 (6 years ago)
- Risk: Potential corrosion, no recent inspection

Diesel consumption:

- Total estimated annual use: ~25,000 liters (2% of processing energy from diesel)
- Cost: KES 3,250,000 annually (estimated)
- Most fuel usage: Rotary dryer (maize husks primary, diesel backup 10%)

GENERATOR USAGE LOG:

Frequency: 60-80 times per month (grid outages primary trigger)

Average session duration: 2-4 hours

Peak demand period: March-May (flood season, increased outages)

Generator performance: Both main units functional but aging (Gen #1 is 15 years old)

FUEL DELIVERY & LOGISTICS:

Supplier: Vivo Energy Kenya

Delivery method: Tanker truck

Delivery frequency: Every 14 days (scheduled)

Storage concern: No secondary containment for main tank #1 (environmental risk)

ELECTRICAL DISTRIBUTION:

Main switchboard: Located in main processing building (office area)

Sub-boards: 4 distribution boxes (one per major production area)

Cabling: Mix of aluminum and copper (some exposed in older sections)

Grounding system: Simple earth pit (resistance ~8 ohms - higher than ideal)

Backup UPS: Small 5 kVA unit (office only, not for production)

WATER & DRAINAGE SYSTEMS

WATER SOURCE:

Primary: Borehole (depth 42 meters, installed 2010)

Yield: ~20,000 liters/day (adequate for normal operations)

Water quality: Good (tested 2024, drinking standard)

Pumping: Diesel-powered submersible pump (40 kW, automated level control)

WATER STORAGE:

Tank #1: 50,000 liters (elevated concrete tank, base level: 1,290.5m ASL)

Tank #2: 30,000 liters (ground-level storage, installed 2018)

Total capacity: 80,000 liters

Daily consumption: ~35,000 liters (processing + domestic)

WATER USE BREAKDOWN:

- Grain processing: 60% (cooling, soaking, cleaning)
- Staff domestic: 15%
- Equipment cleaning: 15%
- Landscaping/other: 10%

DRAINAGE SYSTEMS:

Site drainage: Gravity-based system (sloped toward natural drain)

Storm drains: Dug channels around perimeter (no engineered guttering)

Wastewater treatment: Settling tank (2,000 liter capacity) - overflows to natural drain

Effluent disposal: Surface drainage toward Nzoia River (no treatment)

Sewage: Pit latrine system (4 units distributed around facility)

Septic tank: Not present (staff facilities limited)

DRAINAGE CAPACITY:

- Site sump pump: 1 unit, 7.5 kW submersible (installed 2010)
- Pump capacity: 18 m³/hour (inadequate for heavy flooding)
- Pump condition: Functional but aging (motor showing corrosion)
- Backup pump: Manual pump (hand-operated) - rarely used

FLOOD DRAINAGE:

Site has natural slope (~1%) toward river, but during heavy rainfall:

- Runoff pools in Warehouse #3 area

- Loading dock area floods frequently (see flood history)
- Basement areas don't exist (single-level structures)

HEATING, VENTILATION & CLIMATE CONTROL

VENTILATION SYSTEM:

Type: Natural ventilation (open doors/windows, gable vents)

Rotary dryer exhaust: Dedicated duct system (metal pipe, poorly insulated)

Condition: Adequate for industrial facility, but limited temperature control

COOLING SYSTEMS:

Air cooling units: 2 units (office area only, window-mounted)

Condition: Old (10+ years), maintenance irregular

Grain cooling: Passive (night cooling in storage facilities)

HUMIDITY CONTROL:

Moisture monitoring: 3 stations (as noted above)

Dehumidification: None (reliant on natural ventilation + dryer operation)

Risk: High humidity during rainy season (March-May, Oct-Nov) can damage grain inventory

TEMPERATURE MONITORING:

Manual temperature recording: Twice daily (staff log book)

Electronic monitoring: None (no sensors)

Storage conditions: Target 12-14% moisture content in finished grain

PEST CONTROL:

Method: Quarterly fumigation (pesticide spraying)

Contractor: Local pest control service (cost KES 50,000/quarter)

Condition: Rodent activity noted in Warehouse #3 (2024 audit)

Baiting stations: 15 units distributed (some empty/unmaintained)

INVENTORY & MATERIAL STORAGE

RAW MATERIALS:

Current inventory (typical): 250-400 tons of raw grain

- Maize: 60% (seasonal variation 40-80%)

- Wheat: 25% (seasonal variation 10-40%)

- Sorghum: 15% (seasonal variation 5-25%)

Storage location: Warehouse Unit #3 (primary), Unit #1 (overflow)

Estimated value: KES 45,000,000 (based on current prices)

Seasonal peak: August-November (post-harvest)

WORK-IN-PROGRESS:

Grain in various processing stages: ~50 tons

Location: Main processing building

Value: KES 8,000,000

FINISHED GOODS:

Current inventory (typical): 100-200 tons (bagged)

Location: Warehouse Unit #2

Estimated value: KES 75,000,000

Product mix: 60% packaged maize flour, 25% wheat flour, 15% other products

Package size: Primarily 50 kg bags (2,000-4,000 bags on hand)

INVENTORY TRACKING:

System: Manual logbook (stored in office)

Stock counts: Monthly (performed by operations staff)

Physical audits: Quarterly (by management)

Digital system: None (considering computerization in 2027)

INVENTORY VALUE AT RISK SUMMARY:

Raw materials: KES 45,000,000

Work-in-progress: KES 8,000,000

Finished goods: KES 75,000,000

TOTAL: KES 128,000,000

Note: Inventory values fluctuate seasonally (peak Aug-Nov, low Feb-April)

STAFFING & OCCUPANCY

PERMANENT STAFF:

Operations: 35 (mill operators, equipment handlers, quality control)

Administrative: 8 (office staff, accounting, management)

Maintenance/Mechanics: 12 (equipment maintenance, repairs)

Security: 5 (24/7 facility security, 2-3 on-site at any time)

Total permanent: 60 staff

SEASONAL WORKERS:

Hired during harvest season (August-November): 50-80 casual laborers

Sorting and bagging operations (labor-intensive during peak season)

Rate: KES 400-500 per day

MANAGEMENT TEAM:

General Manager: Mr. Samson Kipkemboi (25 years experience)

Finance Manager: Ms. Amelia Kipchoge (10 years experience)

Production Manager: Mr. James Kiplagat (12 years experience)

Facility/Maintenance: Mr. Justus Koech (15 years experience)

WORKING HOURS:

Monday-Friday: 06:00-18:00 (12-hour shifts, 2 shifts)

Saturday: 06:00-14:00 (half-day operations)

Sunday: Closed (emergency operations only)

SAFETY RECORD:

No major accidents recorded (11 years, 2008-2026)

Minor incidents: 2 hand/finger injuries (2015, 2021) - full recovery, no permanent disability

Safety training: Annual (provided by management)

Safety equipment: Hard hats, safety shoes provided to all staff

Medical facilities: None on-site; nearest health center 8 km away

OCCUPANCY DURING BUSINESS HOURS:

Weekday peak: ~85 persons (staff + visiting grain suppliers/buyers)

Weekend: ~20-30 persons (emergency/maintenance operations)

Nighttime: 5-8 security staff (+ night shift operators if generators running)

BUILDINGS, CONSTRUCTION & CONDITIONS

STRUCTURAL CONDITION ASSESSMENT (2024 Audit):

MAIN PROCESSING BUILDING:

Year inspected: 2024 (structural engineer report obtained)

Foundation: Adequate (no settlement issues observed)

Structural frame: Reinforced concrete (appears sound, some concrete spalling)

Walls: Concrete block base with corrugated iron upper sections (functional)

Roof: Metal truss structure (rusted connections noted, not critical)

Condition rating: Good to Fair

Recommended repairs: Roof inspection/treatment (2025-2026)

WAREHOUSE UNIT #1:

Condition: Fair

Foundation: Concrete pads (minor unevenness noted, non-critical)

Walls: Corrugated iron (rust on lower edges, paint peeling)

Roof: Galvanized steel (multiple patches 2020-2024, integrity maintained)

Moisture ingress: Minor leakage during heavy rains (localized areas)

Condition rating: Fair

Recommended repairs: Roof replacement (scheduled 2027)

WAREHOUSE UNIT #2:

Condition: Good

Foundation: Concrete base (stable)

Walls: Concrete blocks + corrugated iron (recent paint 2025)

Roof: Metal covering (upgraded 2020, watertight)

Condition rating: Good

Recommended repairs: Routine maintenance only

WAREHOUSE UNIT #3:

Condition: POOR (Highest risk structure)

Foundation: Concrete pads (uneven settlement 15-20mm differential over 30m span)

Walls: Timber frame + corrugated iron (wood showing decay in lower sections)

Roof: Corrugated iron (rust throughout, multiple patches inadequate)

Moisture ingress: Significant leaking during rain (roof compromise)

Structural cracks: Visible at wall/roof junction (non-load bearing, cosmetic)

Condition rating: POOR

Recommended repairs: Roof replacement URGENT (2026), structural bracing optional

Risk assessment: Possible roof collapse under heavy snow/wind load (low probability in tropics)

OFFICE BUILDING:

Condition: Excellent

Year built: 2010

Foundation: Elevated on concrete plinths (0.8m height, flood protection)

Walls: Brick construction with cement plaster (well-maintained)

Roof: Corrugated iron (recently repainted 2025)

Flooring: Concrete (elevated above ground level)

Condition rating: Excellent

Recommended repairs: None

FLOOD HISTORY & RISK ASSESSMENT

FLOOD EVENT #1 (April 2015):

Date: 15-17 April 2015

Duration: 3 days of heavy rain + Nzoia River rise

Nzoia river level: Rose ~1.2m above normal (estimated depth 0.6m at facility)

Water depth at facility: 0.4-0.6m (localized ponding, loading dock area)

Buildings affected: Warehouse #1 perimeter, loading dock area

Damage:

- 15 tons grain contamination (affected inventory KES 2.2M)
- Water staining on warehouse walls
- Equipment corrosion (minor)
- Total loss claim: KES 8,200,000

Business interruption: 2 days (cleaning, drying out)

Status: Claimed, settled by insurer

FLOOD EVENT #2 (May 2018) - MOST SEVERE:

Date: 18-22 May 2018

Duration: 5 days of exceptional rainfall (above 100-year recurrence)

Nzoia river level: Rose ~2.1m above normal (estimated depth 1.2m at facility)

Water depth at facility: 0.8-1.2m (all ground-level structures affected)

Buildings affected:

- Main processing building: Water entry (1.1m depth)
- Warehouse #1: Complete inundation (1.2m depth)
- Warehouse #2: Partial flooding (0.6m depth)
- Warehouse #3: Minor water entry (0.3m depth)
- Office building: No water entry (elevated 0.8m)

Damage breakdown:

- Inventory loss (contamination/spoilage): KES 18,500,000
- Equipment damage/corrosion: KES 3,200,000
- Building damage (walls, flooring): KES 2,100,000
- Mold remediation/drying costs: KES 750,000
- Total claim: KES 24,550,000

Business interruption: 12 days (cleanup, equipment drying, restart)

Long-term effects: Mold issues in Warehouse #1 persisted 6 months (remediated)

Staff injuries: None

Status: Claimed, settled by insurer (2018)

FLOOD EVENT #3 (July 2022):

Date: 8-10 July 2022

Duration: 2 days of moderate rainfall

Nzoia river level: Rose ~0.8m (estimated depth 0.2m at facility)

Water depth at facility: 0.1-0.2m (surface ponding only, loading dock area)

Buildings affected: Loading dock area only

Damage:

- Outdoor equipment/materials wet
- Minimal inventory impact
- Total loss claim: KES 1,800,000

Business interruption: 0.5 days (minimal disruption)

Status: Claimed, settled by insurer (2022)

FLOOD EVENT #4 (October 2023):

Date: 26-29 October 2023

Duration: 3 days of heavy rainfall

Nzoia river level: Rose ~1.0m (estimated depth 0.8m at facility)

Water depth at facility: 0.6-0.8m (warehouses #1, #2, and loading dock)

Buildings affected:

- Warehouse #1: 0.7m inundation
- Warehouse #2: 0.5m inundation
- Main building: No entry (slightly elevated 0.2m)

Damage:

- Finished goods inventory: 80 tons contaminated (KES 9.2M loss)
- Building water damage: KES 2.9M
- Equipment corrosion: KES 1,400,000
- Total claim: KES 13,500,000 (adjusted from KES 13.5M to KES 12,100,000 after assessment)

Business interruption: 8 days

Status: Claimed, settled by insurer (2024)

SUMMARY OF FLOOD LOSSES:

Event 1 (2015): KES 8,200,000 (0.6m depth)

Event 2 (2018): KES 24,550,000 (1.2m depth)

Event 3 (2022): KES 1,800,000 (0.2m depth)

Event 4 (2023): KES 12,100,000 (0.8m depth)

TOTAL (11 years): KES 46,650,000

Average annual loss: KES 4,240,909

Frequency: 4 events in 11 years = 36% probability per year

Loss ratio: 46.65M / 948M = 4.9% of TIV

FLOOD RISK FACTORS:

1. Location in active Nzoia River floodplain
2. Site elevation only 0.9 km from river (low relief)
3. Inadequate site drainage (reliant on manual pumping)
4. Single-pump sump system (inadequate capacity at 18 m³/hour)
5. No flood-resistant barriers or elevated structures
6. Vulnerable warehouse structures (low walls, no flood doors)
7. Climate trend: Increasing rainfall variability (2024 rainfall 23% above average)

FLOOD RISK RATING: HIGH (1-in-4 year event probability = 25% annual)

CURRENT FLOOD MITIGATIONS:

- Sandbags stored on-site (500 bags)
- Manual pumps (2 units, rarely used)

- River level monitoring (visual, no electronic system)
- Flood response plan (basic, updated 2023)
- Insurance coverage (existing all-risks policy, no flood cover)

RECOMMENDED FLOOD MITIGATION (NOT YET IMPLEMENTED):

- Upgrade sump pump capacity to 50 m³/hour (would require KES 8-10M investment)
- Install flood doors/barriers on warehouse entries
- Elevate critical electrical equipment
- Real-time river level monitoring system
- Improved site drainage (engineered channels, ditches)
- Relocation of backup fuel tank (underground tank at risk)

PREVIOUS INSURANCE & CLAIMS HISTORY

CURRENT INSURANCE COVERAGE:

Insurer: Kenya National Insurance Company (KNIC)

Policy period: 1 November 2025 - 31 October 2026

Class: Industrial Property (Grain Processing)

Coverage: All-Risks (excluding flood - facultative flood cover being requested)

Annual premium: KES 3,850,000

Deductible (standard): KES 10,000,000

Claims history: All-risks claims managed by KNIC

PREVIOUS INSURER: East African Insurance (2008-2018)

Then: Jubilee Insurance (2018-2022)

Current: KNIC (2022-present, 4+ years)

ALL CLAIMS SUBMITTED (11 years):

1. 2015 Flood: KES 8,200,000 ✓ Paid
2. 2018 Flood: KES 24,550,000 ✓ Paid
3. 2022 Flood: KES 1,800,000 ✓ Paid
4. 2023 Flood: KES 12,100,000 ✓ Paid
5. 2019 Equipment breakdown (minor): KES 350,000 ✓ Paid
6. 2021 Theft of small tools: KES 95,000 ✓ Paid

Total claims (11 years): KES 47,095,000

Total premiums paid (11 years): KES 42,350,000 (estimate)

Loss ratio: 111% (i.e., claims exceed premiums paid)

INSURER COMMENTS:

Current insurer has expressed concern about flood frequency and severity.

Premiums have increased 15-20% annually over past 3 years.

Insurer recommended flood mitigation before renewal (2027).

Flood cover (if available): Would require significant premium loading.

OPERATIONAL & FINANCIAL INFORMATION

BUSINESS MODEL:

- Primary customers: Local farmers (grain supply), wholesale buyers, retail customers

- Market territory: Bungoma, Trans Nzoia, Elgeyo-Marakwet counties
- Capacity utilization: 70-85% (varying seasonally)
- Profit margin: Estimated 8-12% (industry average)

REVENUE STREAM:

Grain milling services: KES 480,000,000 annually (primary income)

- Toll milling: Farmers bring grain for milling (KES 8-10 per kg)
- Direct sales: Packaged flour products (wholesale/retail)

Estimated annual revenue: KES 520,000,000 (all services)

Estimated annual operating costs: KES 450,000,000

Estimated annual profit: KES 70,000,000 (before flood seasons)

SEASONAL VARIATION:

Peak season (Aug-Nov): 3x normal revenue

Off-season (Feb-Apr): 30% of peak revenue

DEBT & FINANCING:

Bank loans: KES 85,000,000 (obtained 2019 for equipment expansion)

Interest rate: 10% per annum

Remaining term: 4 years (maturity 2027)

Monthly debt service: KES 1,850,000

FINANCIAL HEALTH:

Debt-to-equity ratio: Moderate (acceptable range)

Current ratio: Good (sufficient working capital)

Cash flow: Adequate but seasonal stress during off-peak periods

MANAGEMENT & SAFETY PRACTICES

MANAGEMENT STRUCTURE:

Board of Directors: 4 members (Chairman, MD, 2 directors)

Executive Management: 4 (GM, Finance, Production, Facilities managers)

Supervisory staff: 8 (shift supervisors, equipment specialists)

Operational staff: 60+ (as detailed in staffing section)

MANAGEMENT EXPERIENCE:

GM Samson Kipkemboi: 25 years in grain processing industry

Facility Manager Justus Koech: 15 years (current facility since 2010)

Production Manager: 12 years with facility

Finance Manager: 10 years (3 years with current facility)

SAFETY PROGRAM:

- Annual safety training: Conducted (attendance ~95%)
- PPE provision: Hard hats, safety shoes, gloves (compliant)
- Safety drills: Fire drills quarterly, no flood drills (to be implemented)
- Incident reporting: System in place (few incidents recorded)
- First aid: Basic training, no medical personnel on-site
- Emergency response plan: Exists (flood response plan to be enhanced)

QUALITY CONTROL:

- Grain testing: Lab equipment on-site (moisture, purity testing)
- Product standards: Meeting Kenya Bureau of Standards requirements
- Certifications: None (considering ISO 9001 certification 2027)
- Regular inspections: By county health/quality officer (annual)

ADDITIONAL BUILDING SYSTEMS & INFORMATION

SECURITY SYSTEMS:

- Perimeter fencing: Barbed wire (2m high) around facility
- Gates: 2 main gates, 1 emergency exit (manually operated)
- Night lighting: Basic (4 floodlights, covers ~60% of facility)
- CCTV: None (not installed)
- Watchmen: 5 staff (2-3 on-site at any time)
- Alarm system: None (manual response only)
- Lock systems: Basic padlocks and latches

ACCESS CONTROL:

- Staff badge system: None
- Visitor log: Manual (handwritten register)
- Vehicle tracking: None
- After-hours access: Requires manager approval

TRANSPORTATION & LOGISTICS:

- Fleet vehicles: 3 delivery trucks (2008, 2012, 2014 models)

- Truck capacity: 5-8 tons each
- Driver staff: 4 drivers + 2 loaders
- Delivery radius: 50 km (regional markets)
- Fuel storage for vehicles: 500-liter tank (separate from generator fuel)

WASTE MANAGEMENT:

- Milling waste (bran, chaff): ~30% of processed grain weight
- Disposal method: Sold to livestock feed producers (source of revenue KES 5-8M annually)
- Wastewater: Directed to settling tank (rudimentary treatment)
- Solid waste: Minimal (mostly biodegradable)
- Hazardous waste: None (non-chemical operation)

UTILITIES & COST STRUCTURE (ANNUAL):

Electricity: KES 9,600,000 (monthly KES 800,000 average)

Diesel fuel (generators): KES 3,250,000

Water supply: KES 450,000 (bore hole maintenance)

Maintenance & spare parts: KES 2,100,000

Insurance: KES 3,850,000

Salaries & wages: KES 180,000,000

Transport & logistics: KES 12,500,000

Other operating costs: KES 35,250,000

TOTAL ANNUAL OPERATING COST: ~KES 247,000,000

STRUCTURAL & ENVIRONMENTAL CONCERNS

CRITICAL ISSUES:

1. Warehouse Unit #3: Poor condition, roof deterioration (high priority)
2. Underground fuel tank: No recent inspection, potential environmental risk
3. Inadequate sump pumping capacity: 18 m³/hour insufficient for 1m+ flood depth
4. No flood early warning system: River monitoring is visual only
5. Backup generator #2: Lacks automatic transfer switch (manual operation risky)
6. Soil subsidence: Warehouse #3 foundation showing differential settlement

ENVIRONMENTAL RISKS:

- Diesel tank corrosion: Potential soil/groundwater contamination
- Wastewater treatment: Inadequate (no effluent treatment before discharge)
- Pest control chemicals: Stored on-site (proper MSDS documentation required)
- Waste grain disposal: Some burned on-site (smoke/air quality concern)

OPERATIONAL VULNERABILITIES:

- Single electrical feed: Grid failure leaves facility dependent on generators
- Generator fuel dependency: Requires reliable diesel supply
- River level monitoring: Manual system prone to human error
- Flood response: Relies on manual sandbagging and pumping (slow response)
- Staff competency: Operators capable but not formally trained in emergency procedures

RISK ASSESSMENT & UNDERWRITING RECOMMENDATION

OVERALL RISK PROFILE: HIGH RISK (Flood-Prone Location)

POSITIVE FACTORS:

- ✓ Established operation (18 years, stable management)
- ✓ Strong market demand for products
- ✓ Adequate equipment maintenance
- ✓ No major safety incidents in 11 years
- ✓ Profitable business (8-12% margin estimated)
- ✓ Existing insurance track record (claims paid promptly)

NEGATIVE FACTORS:

- X Located in active Nzoia River floodplain (HIGH FREQUENCY hazard)
- X 4 significant floods in 11 years (36% annual probability)
- X Cumulative flood losses: KES 46.65M (4.9% of TIV annually)
- X Inadequate flood mitigation (manual pumping, sandbags only)
- X Warehouse Unit #3 in poor condition (structural risk)
- X Underground fuel tank unmonitored (environmental liability)
- X Single generator (backup) lacks automatic transfer switch
- X No electronic flood monitoring or early warning system
- X Climate trend: Rainfall increasing (2024 rainfall 23% above normal)

FLOOD RISK RATING: HIGH (1-in-4 year event severity, 25% annual probability)

RECOMMENDATION:

CONDITIONALLY ACCEPT with MANDATORY flood mitigation requirements.

REQUIRED CONDITIONS FOR UNDERWRITING:

1. Upgrade sump pump system to 50 m³/hour capacity (timeline: 90 days)
2. Install flood barriers/doors on Warehouse #1 and #2 entrances (180 days)
3. Replace corrugated roof on Warehouse #3 (urgent, within 6 months)
4. Install real-time river level monitoring system (60 days)
5. Elevate electrical distribution boards to minimum 1.5m above ground (120 days)
6. Inspect and certify underground fuel tank integrity (30 days)
7. Remove Generator #2 underground fuel tank; relocate to above-ground storage (90 days)
8. Conduct formal flood response & staff training (within 30 days)

ALTERNATIVE CONDITION:

If mitigation not feasible: Accept with CAPPED flood limit of KES 250,000,000
and increased deductible of KES 15,000,000 for flood coverage.

FLOOD COVER PRICING (if requested):

Estimated premium loading for flood cover: 25-35% of base premium

Suggested flood deductible: KES 15,000,000 (vs. standard KES 10M)

Suggested flood limit: KES 250,000,000 (capped)

Annual flood premium estimate: KES 600,000-800,000

REINSURANCE REQUIREMENTS:

Request 80% reinsurance participation for flood cover (5% of any flood loss)

Retention: 20% (KES 50,000,000 maximum per event)

PLACEMENT DETAILS & NEXT STEPS

COVERAGE SOUGHT:

- All-Risks property insurance: KES 948,000,000 (60-month term requested)
- Facultative flood cover: KES 250,000,000 (capped, separate facultative)
- Business interruption: KES 5,000,000 monthly indemnity (30-day deferred)

PREMIUM ESTIMATE:

Base all-risks: KES 3,850,000 (annual)

Flood cover surcharge: +KES 650,000 (conditional on mitigation)

Business interruption: +KES 300,000 (annual)

ESTIMATED TOTAL: KES 4,800,000 annually

REQUIRED DOCUMENTATION:

- Structural engineer report (for Warehouse #3)
- Environmental audit (fuel tank assessment)
- Facility safety inspection (fire safety certification)
- Financial statements (2023-2025)
- Flood response plan (documentation)
- Management's commitment letter (flood mitigation implementation timeline)

RESPONSE DEADLINE: 12 October 2026

PROPOSED INCEPTION DATE: 01 November 2026

BROKER CONTACT:

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Grace Omondi, Senior Account Executive

Eastside Insurance Brokers Ltd

Date: 8 October 2026

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